

the amount of the prior price gain was irrelevant because based on his earnings projections for Apple, the stock was actually very cheap, notwithstanding its seemingly lofty price.

It is important that your net exposure match your comfort level. For example, if you are uncomfortable being completely out of the market, then a flat position may actually be riskier than a modest long position because you will be much more likely to chase false rallies and get whipsawed. Taylor believes that having some long exposure during the highly volatile late 2008 to early 2009 period actually reduced his potential losses, even though the market declined. He reasons that if he had been out of the market completely, he would have been prone to being whipsawed by one or more of the period's false rallies, potentially losing more than he did with his modest net long exposure. The moral is that you have to know your net exposure comfort zone. For Taylor, the low end of this comfort zone is 20 percent net long.

As another example of the benefits of trading within a net exposure comfort zone, a smaller net exposure may yield better returns, *even if the market moves higher*. For example, although the market eventually rose to higher levels, by sharply reducing his net long exposure in early January 2008, Taylor was in a position to increase his long exposure following the price plunge later in that month. If he had stayed heavily net long, he might well have been forced to sell into the market weakness to reduce risk. The difference between being a buyer on market weakness instead of a potential seller more than offset the reduced returns implied by a lower net exposure for the period as a whole.

Although trying to tightly constrain monthly losses may seem like a prudent approach—and indeed is for many traders—for investors with a long-term perspective, a constraint of keeping monthly losses below some moderate threshold could be detrimental. Taylor believes that an obsession with monthly returns can adversely influence long-term investment decisions. If he is strongly convinced that a stock will move much higher over the long term, then in his view, cutting exposure on interim weakness to limit the depth of a monthly loss would be a mistake. Freeing himself from what he calls the “tyranny” of a monthly return focus was one of the